TRADING FOUNDRY

PLAYBOOK 05 / 15 · INTERMEDIATE

BREAKOUT & RETEST TRADING.

Trading the break of a defined level or range, then using the retest of that broken level as a lower-risk confirmation entry.



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BREAKOUT & RETEST TRADING.

THE COMPLETE COURSE

Trading Foundry University — Playbook 5 of 15

First Edition — 2026

This book is educational content only. It is not financial advice, and nothing in it is a recommendation to buy or sell any instrument. Every chart example, price level and trade walkthrough is an illustration of technique — not a signal, not a prediction, and not a suggestion that you place a trade. Trading foreign exchange carries a substantial risk of loss and is not suitable for everyone. Never risk money you cannot afford to lose, and test every idea in this book on historical data and a demo account before any real capital goes near it.

HOW TO USE THIS BOOK.

This is Course 5 of the Trading Foundry University, and it deals with one of the most seductive ideas in trading: the breakout. Price coils up, tension builds, a level snaps, and the market runs. When it works, it looks effortless. When it doesn't — which is often — it takes your money with a speed that feels personal.

So here is how to read this book. Not as a collection of setups to copy, but as a framework to interrogate. Every chapter gives you a claim about how markets behave around broken levels, the reasoning behind it, and a way to check it on your own charts. The checking matters more than the reading. A breakout method you have personally tested across two hundred historical examples is worth more than any method you have merely read about, including this one.

Work through the chapters in order. The first four build the diagnostic skills: why breakouts happen, which levels deserve your attention, what a genuine break looks like, and — the centrepiece of this book — how and why breakouts fail. Do not skip Chapter 4. Most breakout traders lose money not because they can't spot a breakout, but because they can't spot a trap, and the two look almost identical in the moment. The back half of the book turns diagnosis into process: the retest entry, the trade-off between speed and confirmation, stop placement, session timing, and finally the assembly of a written, testable playbook.

Read with charts open. When a chapter describes a range breakout on the hourly, pause and find five of your own in historical data. Mark them, screenshot them, note whether they held or failed. That habit — verify, don't trust — is the actual product here. The prose is just the map.

One promise about tone: we will not pretend breakout trading is easy, and we will not invent statistics to flatter it. Where numbers appear in worked examples, they are illustrative. Your numbers, from your own testing, are the only ones that count.

Kettle on. Charts open. Let's get to work.

CHAPTER 1 — WHY BREAKOUTS HAPPEN: CONSOLIDATION AND EXPANSION.

MARKETS BREATHE: CONTRACTION, THEN EXPANSION

Markets do not trend all the time. Anyone who tells you otherwise has never sat through a Tuesday afternoon on EUR/CHF. Most of the time, price does very little — it chops sideways in a band while buyers and sellers argue at close quarters. Then, occasionally, one side wins the argument, and price moves fast and far. That alternation — quiet, quiet, quiet, loud — is the single most reliable structural feature of financial markets, and it is the entire reason breakout trading exists.

Think of it as breathing. Volatility contracts: ranges narrow, candles shrink, the market takes in air. Then volatility expands: a level breaks, stops fire, fresh orders pile in, and the market exhales in one direction. Contraction stores energy; expansion releases it. The breakout trader's whole job is to identify where the energy is stored and position for the release — without being fooled by the market's many false exhales.

Why does the cycle exist at all? Because markets are auction processes. In a consolidation, the market has found a price area where business gets done comfortably — buyers think it's cheap enough, sellers think it's dear enough, and volume changes hands without moving price much. Economists would call it temporary equilibrium. Traders call it a range. Either way, it cannot last, because the world keeps changing while the price stands still. Data lands. Central bankers speak. Positions build up on both sides. Eventually the information outside the range no longer matches the price inside it, and the auction has to move to find a new area of agreement. That move is the breakout.



FIGURE. A market consolidating between defined support and resistance. Price bounces between the boundaries as buyers and sellers agree on fair value — until one side gives way and the stored energy releases.

THE ORDER-FLOW ENGINE UNDER THE BONNET

It helps to know what mechanically drives the expansion, because it explains both why breakouts run and why they fail.

Around any well-watched range there are three clusters of orders. First, stop-losses: traders short against the range high have protective buy stops just above it; longs from the range low have sell stops beneath it. Second, breakout entry orders: traders waiting for the level to go, with buy stops above resistance and sell stops below support. Third, take-profit and fresh fade orders from range traders who intend to sell the top and buy the bottom until further notice.

When price pushes through a range high, the first two clusters fire together. Shorts are forced to buy to cover; breakout traders buy to enter. That's a burst of one-way demand hitting a thin patch of the order book — sellers who were happy to offer at the old resistance have either been filled or have pulled their orders. Demand up, supply down, price jumps. This is why genuine breakouts often move quickly: they are partly fuelled by traders who are wrong and have to exit, which is the most motivated buying there is.

But notice the flip side. That burst is finite. Once the trapped shorts have covered and the eager breakout buyers are in, the move needs a second wave — real institutional follow-through — or it stalls. If the big money was actually selling into that burst, price collapses back into the range, and everyone who bought the break is now the trapped party. Same mechanics, opposite victim. Hold that thought; it is the whole of Chapter 4.

WHY THIS MATTERS TO YOU SPECIFICALLY

There are two honest reasons to trade breakouts rather than, say, range reversals or trend pullbacks.

One: breakouts put you on board at the start of expansions, and expansions are where the range-to-risk maths gets attractive. A trade that catches the first leg out of a two-day consolidation can offer multiples of the risk taken, because your stop sits against a compressed structure while the target sits in open space.

Two: breakouts are objective in a way that much technical analysis is not. "Price closed above the level" is checkable. You can define it, backtest it, and hold yourself to it. Compare that with "the market feels heavy" and you'll see why breakout systems are among the most tested strategies in the public literature.

The honest cost: a large share of breakouts fail. Not occasionally — routinely. Anyone who has traded a London morning knows the sickening rhythm of buying a high that immediately becomes the high of the day. The winning version of this strategy is not "buy every break". It is a filtering exercise: which consolidations, which levels, which sessions, which confirmation — and, just as importantly, which breaks you deliberately leave alone. The rest of this book is that filter, built piece by piece, with the failure cases given at least as much attention as the successes.

A note on psychology before we move on. Consolidations are boring, and boredom is a market condition in its own right. The hours before a big breakout are precisely the hours when undisciplined traders talk themselves into nonsense trades inside the range, donate their capital, and then — beautifully — their stops become the fuel for the very breakout they were waiting for. Learn to sit on your hands while the market inhales. Watch the range form, mark its edges, note where the stops are stacking up — and do nothing else. Patience during contraction is not dead time. It is the setup loading, and the trader who spent the quiet hours preparing is the one positioned to act with a plan when the loud hour finally arrives.

CHAPTER 1 IN ONE SENTENCE:

Markets alternate between quiet consolidation and violent expansion because equilibrium always breaks eventually, and the breakout trader's edge is positioning for the release of that stored energy without becoming its fuel.

CHAPTER 2 — IDENTIFYING RANGES AND LEVELS WORTH TRADING.

NOT ALL LEVELS ARE CREATED EQUAL

Here is an uncomfortable truth: you can draw a horizontal line on any chart and price will eventually cross it. That does not make it a breakout. The first skill of this strategy — before entries, before stops, before anything — is telling the difference between a level the market actually cares about and a line you invented because you wanted a trade.

A level worth trading has three qualities.

First, it is obvious. This sounds backwards — surely the edge is in seeing what others miss? No. For a breakout to travel, it needs other people's orders: stops above the level, entries behind you, latecomers pushing it on. That only happens if the crowd sees the same level you do. If you needed a bespoke indicator and a squint to find it, nobody's stops live there and nothing will happen when it breaks. The best levels pass what we call the five-second test: show the chart to another trader and they mark the same line within five seconds.

Second, it is tested. A range boundary that has been touched and rejected three or four times is far more meaningful than one touched once. Each touch does two things: it proves real orders defend the level, and it builds the position — and stop — inventory on both sides. More touches, more trapped traders when it finally goes, more fuel.

Third, it is recent and relevant to your timeframe. A weekly level from 2019 matters to weekly traders. If you trade the one-hour chart, your bread and butter is the last few days to few weeks of structure: yesterday's high and low, the week's range, the Asian session range, a multi-day consolidation. Mark the big higher-timeframe levels too — they explain why price sometimes stops dead in "open space" — but trade the structure your timeframe actually respects.



FIGURE. Resistance tested three times and holding. Every rejection adds to the inventory of shorts positioned against the level — and to the pile of buy stops sitting just above it. When a level like this finally breaks, that inventory becomes fuel.

RANGES: THE TIGHTER THE COIL, THE CLEANER THE SPRING

Beyond single levels, breakout traders live off ranges — periods where price is boxed between defined support and resistance. Again, quality varies wildly, and your filter should be strict.

A tradeable range has a defined floor and ceiling, each with at least two clean touches. It has meaningful duration relative to your timeframe — on an hourly chart, think a day or more of sideways price, not ninety minutes of lunchtime drift. And ideally it shows contraction: the swings inside the range getting smaller, price coiling towards the middle or pressing against one boundary. A range that presses repeatedly against its ceiling while its floor rises — higher lows into flat resistance, the classic ascending triangle shape — is telling you which side is winning the argument before the break confirms it.

Contrast the tradeable range with the mess that most sideways price actually is: overlapping candles, boundaries that shift every few hours, spikes poking out of both sides. That is not a coiled spring; that is noise. There is no shame in labelling a chart "untradeable" and moving on. In fact, the willingness to do so is one of the quiet edges in this whole book. You are not paid for the number of lines you draw. You are paid — if at all — for the quality of the few you act on.

BUILDING YOUR LEVEL MAP: A REPEATABLE ROUTINE

Turn this into a routine you run before each trading session, top-down, so it stops being an art project and becomes a checklist.

Start on the daily chart. Mark the major swing highs and lows within roughly the last three months, plus any multi-day consolidation boundaries. These are your context levels — the walls of the building. Drop to the four-hour and refine: where has price stalled repeatedly this week? Then your execution timeframe — say the one-hour — where you mark the current range, if there is one, and note the previous day's high and low.

By way of illustration only: suppose GBP/USD has spent three days trapped between 1.2620 and 1.2680, with three rejections off the top and two bounces off the floor, inside a broader daily uptrend. That is a level map worth having. The ceiling at 1.2680 is obvious, multi-touch and recent; the daily context says the pressure is upward; and you know exactly what would constitute a break. You have not predicted anything. You have simply prepared, which is different — and better.

Two warnings to finish. Don't over-mark. A chart with fifteen lines is a chart where every candle "hits a level" and no line means anything; if everything is a level, nothing is. Five or six lines per pair is usually plenty. And treat levels as zones, not laser lines. Forex levels are areas a few pips deep — different feeds, different wicks, different order clusters. Demanding precision to the pip will get you faked out of good structure and into bad trades. Draw the zone, respect the zone.

Finally, refresh the map daily. Levels age: yesterday's crisp boundary becomes irrelevant once price has spent a session trading far beyond it, and a range that was pristine on Monday may be a broken relic by Thursday. Five minutes of housekeeping before each session — delete the stale lines, promote the new structure — keeps the chart honest and keeps you from defending levels the market abandoned days ago.

CHAPTER 2 IN ONE SENTENCE:

A level worth trading is obvious, repeatedly tested and recent, and a range worth trading is clearly bounded and coiled — everything else is decoration, and disciplined traders decline to trade decoration.

CHAPTER 3 — ANATOMY OF A GENUINE BREAKOUT.

WHAT THE TEXTBOOK BREAK ACTUALLY LOOKS LIKE

Put two charts side by side — one a breakout that ran for three days, one that reversed within three candles — and zoom in on the moment of the break. In hindsight the difference is obvious. In real time, it is genuinely hard. This chapter is about the observable features that tilt the odds, so that "genuine" becomes a checklist rather than a hope.

Feature one: the approach. Genuine breakouts tend to be built, not stumbled into. Price works towards the level with intent — higher lows pressing into resistance, shallower pullbacks, the buying showing up earlier each time. The market looks like it is queuing at the door, not wandering past it. A break that comes from a single violent candle out of nowhere, launched from the middle of the range, is far more suspect: nothing was built, so there may be nothing behind it.

Feature two: the breakout candle itself. You want conviction — a strong-bodied candle that closes decisively beyond the level, not a long wick that pokes through and closes back inside. The close is the vote that counts. A wick above resistance with a close below it isn't a breakout; it's a rejection wearing a breakout's coat. Many experienced traders will not even evaluate a break until the candle on their timeframe has closed, and on balance we side with them: you will miss the first few pips of the real ones and dodge a remarkable number of fake ones.

Feature three: what happens next. This is the most underrated tell. After a genuine break, the broken level should change character — old resistance should start behaving like support (or old support like resistance). Price may pause, drift sideways, even dip back to touch the level, but it should hold beyond it. What price should not do is slice straight back through as if the level were never there. Acceptance beyond the level — a few candles living comfortably on the far side — is the market ratifying the break. Rejection back through it is the market vetoing it, and vetoes must be respected instantly.



FIGURE. A genuine upside range breakout: a determined approach, a full-bodied candle closing clearly above resistance, and continuation as price accepts the new, higher valuation. Note that the market holds above the broken level rather than collapsing back inside.

CONTEXT: THE BREAKOUT'S SILENT PARTNER

The same breakout candle can be high-probability or low-probability depending entirely on what surrounds it, and three pieces of context do most of the work.

Higher-timeframe direction. A breakout in the direction of the daily trend is swimming with the current: the pause you traded out of was probably a continuation pattern, and the big-money flow is likely on your side. A counter-trend breakout can work — trends do end — but it is fighting the dominant order flow and demands stricter evidence. If you take one idea from this section: continuation breakouts and reversal breakouts are different trades, and your testing (Chapter 9) should track them separately, because their statistics will differ.

Room to run. Look left. If the broken level gives way onto open space — no significant structure for a sensible distance — the trade has somewhere to go. If there is a major daily level fifteen pips beyond your breakout point, you are buying a break directly into a wall. Plenty of technically perfect breakouts die precisely because they broke one level only to arrive immediately at a bigger one. Check the map before the trade, not after.

Compression before the break. The tighter and longer the consolidation, the more meaningful its resolution — more time for positions to build, more stops accumulated, more genuine disagreement finally resolved. A break from three days of narrowing range means more than a break from two hours of drift. Volatility contraction is the load; the breakout is the release.

AN ILLUSTRATION, AND A HIERARCHY OF EVIDENCE

Purely as an illustration of technique: imagine USD/JPY in a daily uptrend, consolidating for two days between 151.20 and 151.80 on the hourly. Through the second day, lows rise: 151.20, then 151.35, then 151.50 — buyers stepping in earlier each time, coiling under the ceiling. Early in London, an hourly candle drives through 151.80 and closes at 151.94, full-bodied, small upper wick. The next candle holds above 151.80. Approach: built. Candle: decisive. Acceptance: present. Trend: aligned. Space: the last daily swing high sits well above. That confluence is what "genuine" looks like on paper — and even then, no guarantee exists. This is a probability tilt, not a promise, and it must never be read as a pattern to trade on sight.

It is worth ranking the evidence, because in live conditions you rarely get everything. In rough order of importance: the closing basis of the break (non-negotiable), acceptance beyond the level in the candles that follow, higher-timeframe alignment, the quality of the approach and compression, and room to run. A break missing one lesser ingredient can still be worth a properly sized, properly stopped trade. A break missing the close — a wick-only "break" — is not a break at all, and treating it as one is how the market funds its Christmas party.

One final habit: grade every breakout you see, in writing, before you know the outcome. A/B/C against this checklist, then record what happened. Within a hundred examples you will have something better than this chapter — a personally verified profile of what genuine looks like in the markets and sessions you actually trade.

CHAPTER 3 IN ONE SENTENCE:

A genuine breakout is built on approach, confirmed by a decisive close beyond the level, ratified by acceptance on the far side, and supported by trend and open space — and every one of those ingredients is observable before you risk a penny.

CHAPTER 4 — FALSE BREAKOUTS AND LIQUIDITY TRAPS.

THE MOST IMPORTANT CHAPTER IN THIS BOOK

Let's not dress it up: breakouts fail constantly. Depending on how you define "breakout" and "failure", public studies and trader lore put the failure rate anywhere from a third to well over half — and in choppy conditions, worse. We won't pretend to hand you a precise universal number, because there isn't one; it varies by market, timeframe, session and definition, and you should measure it yourself in your own testing. But the honest headline stands: if you buy every poke above every level, you will spend most of your trading life being wrong at the worst possible spot. This chapter exists because breakout trading is not really a game of catching breakouts. It is a game of not being the mug on the wrong side of the fake ones.

Here is the uncomfortable reframe that separates intermediate traders from beginners: a false breakout is not bad luck. It is not noise. It is frequently the market doing exactly what it is built to do — seeking liquidity. Large players cannot fill size where the market is quiet; they need volume, and volume clusters where stops rest. Just above obvious resistance sits a pool of buy orders: the stops of shorts, plus eager breakout entries. Push price into that pool and a big seller finds thousands of willing buyers to sell to, at premium prices. Price spikes above the level, the buying is absorbed, and the market falls back through, leaving a wick like a tombstone and a crowd of trapped longs whose exits now fuel the move down. Traders call it a stop run, a stop hunt, a liquidity sweep. Call it what you like — the pattern is as old as markets, requires no conspiracy, and merely reflects that big fish feed where the food is.



FIGURE. A stop run above resistance: price spikes into the pool of buy stops beyond an obvious level, the buying is absorbed by larger sellers, and the market reverses hard back through the level. The wick marks where breakout buyers were trapped.

READING THE FAILURE IN REAL TIME

The good news: false breakouts leave fingerprints, and most of them are the mirror image of Chapter 3's checklist.

The wick without the close. Price trades beyond the level intraday but the candle closes back inside the range. This is the single most common failure signature, and it is why closing-basis confirmation is non-negotiable. A wick beyond a level is a question; only the close is an answer.

The break with no follow-through. The candle does close beyond the level — fakes can pass that test too — but the candles after it go nowhere. No acceptance, no continuation, just a stall on the wrong side of the line with momentum bleeding away. Genuine breaks tend to get moving; when a break sits there looking embarrassed, latecomers stop arriving and trapped traders start leaving. Two or three candles of nothing beyond a broken level is a yellow card at minimum.

The re-entry — the red card. Price closes back inside the range. The moment that happens, the breakout thesis is not merely weakened; it is dead, and something stronger has replaced it. Every trader who entered on the break is now underwater, their stops sit back inside the range, and their forced exits become fuel for the move in the opposite direction. This is why failed breaks so often produce fast journeys to the other side of the range — a phenomenon worth studying on its own, because for some traders the failed break is the trade. You don't have to trade it. You do have to respect what it means: get out, fast, without negotiation.

Context tells, too. Breaks are more likely to be false when they occur against the higher-timeframe trend, into a major level just beyond, from a sloppy range rather than a coiled one, or in thin, aimless conditions — the late Asian drift, the dead zone after London closes, the half-staffed markets around major holidays. A breakout needs participation to be real. No participants, no breakout — just a spike looking for stops.

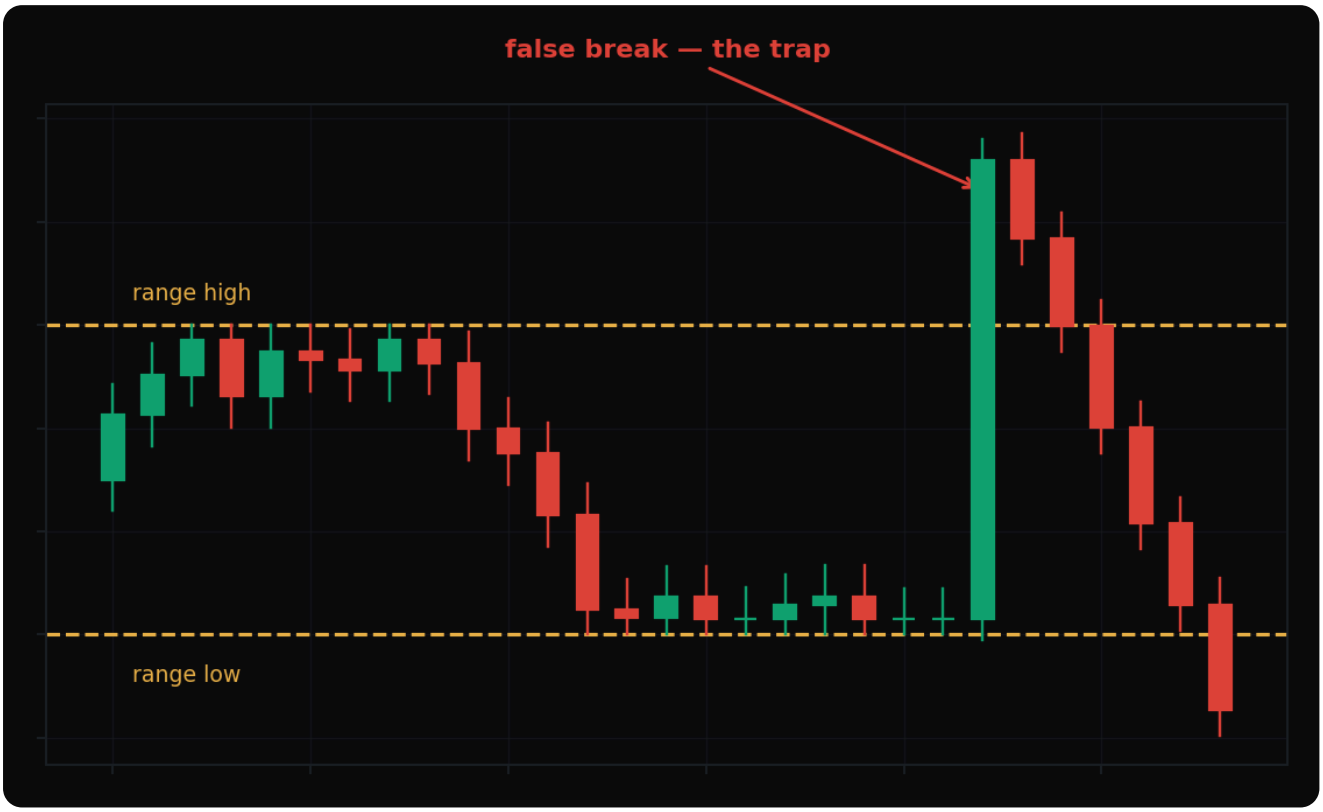


FIGURE. A failed upside breakout: price clears the range high, finds no follow-through, and closes back inside the range. Every breakout buyer above the level is now trapped — and their stop-losses become fuel for the move back down through the range.

DEFENCE, AND THE PSYCHOLOGY OF BEING FOOLED

You cannot avoid false breakouts entirely — anyone who trades this strategy will be caught, regularly, forever. The aim is to be caught less often and to pay less each time. Four defences carry most of the weight.

Demand the close, on your chosen timeframe, every time. Prefer coiled ranges at obvious levels in live sessions, and skip breaks against higher-timeframe structure unless the evidence is exceptional. Wait for the retest where conditions allow — the next chapter's entire subject, and the most direct antidote to trap entries, since a genuine break tends to hold its retest while a fake one collapses. And when a break fails by re-entering the range, exit immediately: the first loss is the cheapest, and hoping is not a management technique.

Now the psychology — because false breakouts are as much an emotional weapon as a mechanical one. The trap works by hijacking your fear of missing out. Price surges through the level, the candle is huge, and your brain screams that it's leaving without you. So you chase,

entering at the worst price, seconds before the reversal. Then the second trap springs: having been burned, you refuse the next breakout — the genuine one — and watch it run for two days from the sidelines. Whipsawed out of money, then whipsawed out of conviction. Every breakout trader knows this cycle intimately.

The way out is not courage; it is process. Decide before the session what you need to see — which level, what close, what confirmation, what invalidation. Write it down. Then the surging candle is just data against a checklist, not a starting gun. You will still get trapped sometimes. Fine. Trapped small, trapped with a plan, trapped and out quickly — that trader survives to collect the real breakouts. The trader who improvises at the moment of maximum adrenaline is the liquidity.

CHAPTER 4 IN ONE SENTENCE:

False breakouts are not accidents but the market hunting the liquidity resting beyond obvious levels, and your defence is closing-basis confirmation, follow-through, context, the retest, and instant exit the moment price closes back inside the range.

CHAPTER 5 — THE RETEST: PATIENCE AS AN EDGE.

WHAT A RETEST IS, AND WHY IT WORKS

After a genuine breakout, price very often does something that feels wrong to beginners: it comes back. Having smashed through resistance, the market pauses, rolls over and returns to the scene of the crime — right back down to the level it just broke. The novice sees failure and panics. The experienced breakout trader sees the best entry the strategy offers.

This is the retest: price returning to a broken level and treating it as its new opposite. Broken resistance is retested as support; broken support is retested as resistance. When the level holds — price touches it, buyers step in, and the move resumes — you get confirmation that the breakout was real, an entry far closer to a logical stop, and a defined line in the sand that tells you quickly if you're wrong.

Why should a broken level flip its role? Three overlapping mechanics. First, trapped traders: shorts who sold the old resistance and didn't exit on the break are underwater; when price returns to their entry, many gratefully close at breakeven — and closing a short means buying, which supports the level. Second, latecomers: traders who believed in the break but missed it or refused to chase now have their second chance, and their bids cluster at the old level. Third, institutional behaviour: large players who drove the break rarely fill everything in one push, and the pullback to the level is where they add. None of these requires the level to have magic properties. It flips because human decisions cluster there.

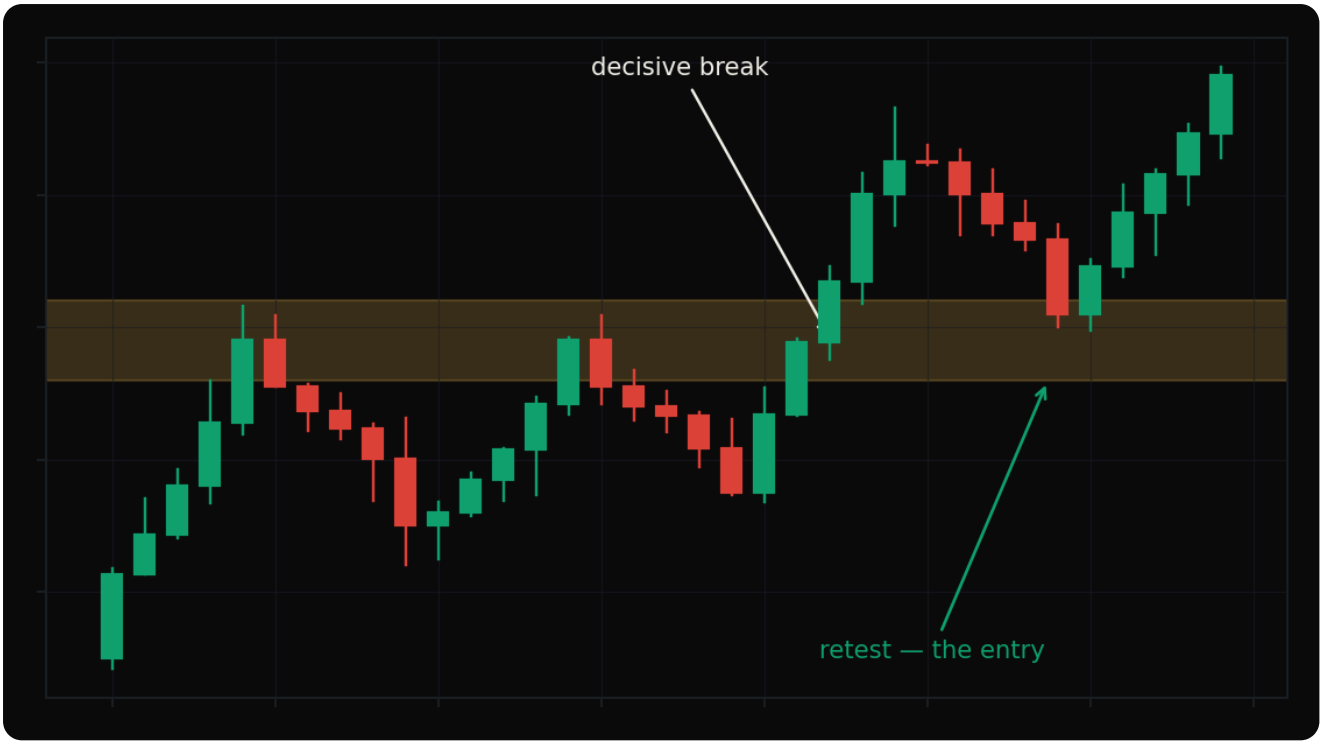


FIGURE. The classic break-and-retest sequence: price breaks resistance, pulls back to test the broken level from above, finds support there, and resumes higher. The retest converts a chase into a plan — entry at the level, stop below it, target in open space.

THE TRADE-OFF, TOLD STRAIGHT

Nothing in trading is free, and the retest's price is stark: sometimes the retest never comes. The strongest breakouts — the ones driven by genuine urgency — often don't look back at all. Price breaks, runs, and keeps running while the patient trader sits at the level like someone waiting at the wrong bus stop. So the choice between entering on the break and waiting for the retest is a real trade-off, not a free upgrade, and it's worth being precise about what you're exchanging.

Waiting for the retest costs you participation: you will miss some of the best moves entirely. In exchange you gain a better entry price, a tighter and more logical stop, an extra layer of confirmation that filters out many traps (a false break tends to slice back through the level rather than respect it), and — underrated — a calmer entry. Buying a retest is a decision made while price is quiet at a pre-chosen level. Buying a breakout candle is a decision made while adrenaline is doing the driving. Over hundreds of trades, the quality of the decision-making state is itself an edge.

There is no universally right answer, and Chapter 6 treats the choice properly. But for intermediate traders, our editorial view is unapologetic: default to the retest. The moves you miss cost you nothing but envy. The traps you avoid cost real money. Missed money bruises the ego; lost money bruises the account, and only one of those compounds.

READING RETEST QUALITY — AND ITS LIMITS

Not every return to a broken level is a healthy retest, so judge them on three points.

Character of the pullback. You want a correction, not a collapse: a controlled drift back to the level on smaller candles, overlapping and reluctant. A violent full-bodied reversal candle slamming back through the breakout point isn't a retest — it's the break failing, per Chapter 4.

Behaviour at the level. This is where the trade is decided, so demand evidence rather than assuming the level will hold. The classic tells: a rejection wick as price probes the level and gets bought, a bullish engulfing or pin bar at the zone (Course 3 material, earning its keep), or simply a candle that closes back away from the level in the breakout direction. Remember the level is a zone — price may dip slightly through the exact line, sweep the too-tight stops, and hold the area. Judge the zone, not the pip.

Time. Retests are freshest within a handful of candles of the break. A "retest" that arrives two days later, after momentum has died and the chart has grown new structure, is really a different market revisiting an old level — tradeable, perhaps, but not on this playbook's terms.

Purely as an illustration: EUR/USD breaks a three-day range ceiling at 1.0850 with a strong hourly close at 1.0868. Two hours later it drifts back on small-bodied candles to 1.0852, prints a pin bar wicking to 1.0846, and closes at 1.0861. A trader following this framework in a backtest would log a long at the close near 1.0861, stop beneath the rejection low around 1.0840, first target below the next daily level — roughly two units of reward per unit risked. Whether that trade wins is unknowable in advance, and that is precisely the point: the retest doesn't promise the outcome; it improves the price you pay for the uncertainty.

And when the retest fails — the level breaks back the other way, your stop is hit — take the loss and say thank you. The structure told you quickly and cheaply that the break was wrong. That is the retest working, not failing. Confirmation was never a guarantee; it was a discount on the cost of being wrong.

CHAPTER 5 IN ONE SENTENCE:

The retest — price returning to hold a broken level in its new role — trades participation for confirmation, giving up some runaway winners in exchange for better entries, tighter stops and fewer traps, which for most intermediate traders is a bargain.

CHAPTER 6 — MOMENTUM ENTRIES VS RETEST ENTRIES.

TWO TRADERS, ONE BREAKOUT

Watch two competent traders handle the same breakout and you'll see two different professions. The momentum trader enters as the level breaks — on the stop order or the confirming close — accepting a worse price and more traps in exchange for never missing a runner. The retest trader lets the break go, sets an alert at the broken level, and only acts if price comes back and holds. Both approaches are legitimate. Both are backtestable. They simply distribute their pain differently, and choosing between them is really choosing which pain you tolerate best.

The momentum entry's strengths: full participation (every genuine break is caught, including the monsters that never look back) and psychological simplicity at the moment of entry — see condition, act, done. Its costs: the worst fill of any approach (you are buying at the exact spot sellers are hunting), the highest exposure to Chapter 4's traps, and a stop problem — the logical invalidation point (back inside the range) is often far from a break-price entry, forcing either wide stops or arbitrary tight ones. Tight-but-arbitrary stops inside the noise are how momentum traders die of a thousand cuts.

The retest entry's strengths, from Chapter 5: better price, logical tight stop, a confirmation layer that filters traps, calmer execution. Its cost, singular but real: missed trades — and not random ones. The breakouts that don't retest are disproportionately the most violent, most urgent moves. The retest trader systematically misses a slice of the best trades. Anyone selling you the retest as pure upside hasn't tested it honestly.

CHOOSING BY CONDITIONS, NOT BY MOOD

The wrong way to choose is by recent memory — chasing momentum after watching a runner leave without you, then swearing patience after the next trap. That is the market managing you. The right way is to let measurable conditions pick the tool, because the trade-off isn't static: certain environments genuinely favour urgency, and others favour patience.

Momentum entries earn their keep when urgency is likely: a break aligned with a strong higher-timeframe trend; a long, tight coil finally resolving (the more compressed the spring, the less likely a polite pullback); a break during the London or New York sessions with real participation behind it; a fundamental catalyst in the breakout's direction. In those conditions, demanding a retest often means demanding something the market has no reason to give.

Retest entries earn their keep when scepticism is warranted: counter-trend breaks; breaks from sloppy, ill-defined ranges; quiet or transitional sessions; the second or third test of a level that has

already produced one failed break; any time you cannot honestly call the context clean. When the trap risk is elevated, confirmation is cheap at the price.

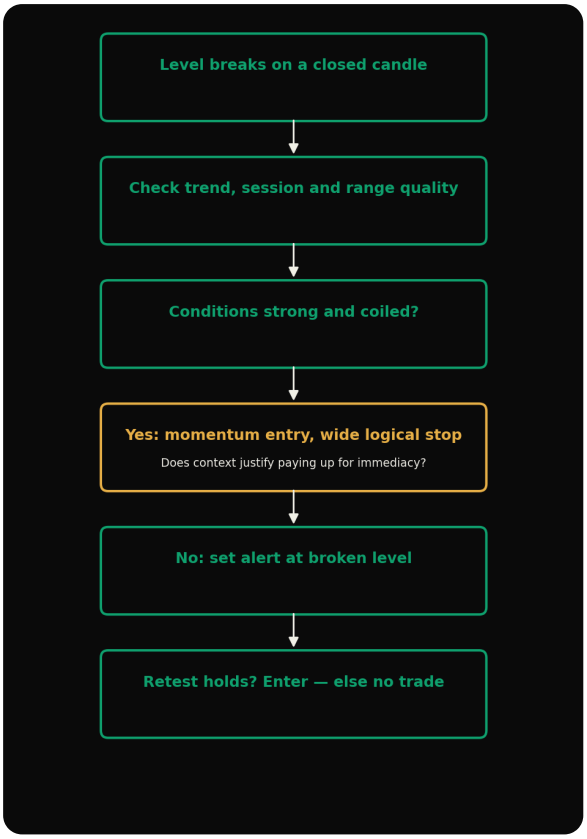


FIGURE. A decision flow for choosing the entry style. The question is never 'which entry is best?' but 'which entry do these specific conditions justify?' — codifying the choice in advance removes it from the adrenaline of the live break.

THE HYBRID, AND AN HONEST EDITORIAL VIEW

Many experienced breakout traders refuse the either/or and split the position. As an illustration of the mechanics: a trader planning to risk 1% on a setup might commit half on the confirmed break (momentum tranche, wider stop back inside the structure) and hold the other half for the retest (better price, tighter stop). If the market runs without retesting, half the position is aboard. If it pulls back and holds, the average entry improves. If the break fails outright, only part of the risk was on the worst fill. The hybrid doesn't beat both pure approaches in every scenario — nothing does — but it smooths the psychological whipsaw, and that has a value that never shows up in a backtest column yet absolutely shows up in your discipline six months in.

The non-negotiable, whichever style you run: pick per setup type, in advance, in writing. Your playbook (Chapter 9) should say, for each named setup, which entry style it uses and why — "trend-continuation coil breaks in London: momentum tranche plus retest tranche; counter-trend range breaks: retest only" is the level of specificity to aim for. What you must not do is decide in the moment, because in the moment you will always choose whatever soothes the last loss.

Since you've paid for opinions, here is ours. For intermediate traders — this course's audience — the retest should be the default and momentum the earned exception. Not because momentum

entries are wrong, but because their failure mode is expensive in exactly the currency intermediate traders are shortest of: emotional capital. A run of chased breaks that instantly reverse doesn't just cost money; it corrodes the discipline needed to execute anything at all. The retest trader's failure mode — watching a missed move from flat — costs nothing but pride. Graduate to momentum entries when your journal, not your frustration, shows you're consistently missing profitable moves that your tested criteria would have caught. Let the data promote you.

Whatever you choose, measure it. Tag every trade in your journal by entry style and setup type, and let a hundred trades tell you what this chapter cannot: which trade-off suits your market, your timeframe and your temperament. The answer in your journal outranks the opinion in this book.

CHAPTER 6 IN ONE SENTENCE:

Momentum entries buy participation at the cost of price and traps, retest entries buy confirmation at the cost of missed runners, and the professional move is to assign each entry style to specific, pre-written conditions — with the retest as the intermediate trader's default — rather than choosing by mood.

CHAPTER 7 — STOP PLACEMENT AND TRADE MANAGEMENT ON BREAKOUTS.

THE STOP GOES WHERE THE IDEA DIES

Every stop-loss placement question has the same correct starting point: at what price is my idea provably wrong? Not "how much am I willing to lose" — that determines position size, a different lever — but where does the market structure invalidate the trade. For breakout trades the answer is unusually clean, which is one of the strategy's quiet virtues: the trade idea is that a level has broken and will now hold. The idea dies when price re-establishes itself on the wrong side of that level.

For a retest entry, this gives a tight, logical stop: beyond the broken level's zone and beyond the retest rejection's extreme, plus a sensible buffer for spread and noise. If a trader in a backtest goes long a retest of broken resistance at 1.2685 after a rejection wick to 1.2678, the stop belongs under that structure — say 1.2670 — not at a round number of pips chosen for comfort. If price trades there, the level has failed in its new role and the trade premise is gone. That is a stop doing its actual job: not preventing loss, but marking the boundary of the idea.

For a momentum entry, honesty requires a wider stop — typically beyond the opposite side of the breakout structure or its midpoint, because the premise "this break is real" isn't fully disproven until price is back inside the range. Here is the mistake that quietly ruins breakout traders: taking the momentum entry and the retest-sized stop. The entry is far from the level, the stop is tucked just behind it, and ordinary post-breakout backfilling — the very retest Chapter 5 celebrates — takes them out before the real move begins. Stopped out by the pullback, then watching the trade work without them. If you cannot afford the wide stop at your position size, the answer is a smaller position or the retest entry — never a fantasy stop.

Two placement rules apply everywhere. Respect the zone: levels are areas, so stops go beyond the zone's far edge, not a pip behind the line where every stop-hunt sweep will find them. And mind the obvious: your textbook stop location is everyone's textbook stop location, which is why Chapter 4's sweeps exist. A few extra pips beyond the crowd's spot, paid for with slightly smaller size, is often the difference between a wick that stings and a stop-out that shouldn't have counted.



FIGURE. A breakout trade framed before entry: stop beyond the invalidation structure, first target in open space at roughly twice the risk. The ratio isn't a magic number — it's the discipline of knowing, before entry, what you're paying and what you're playing for.

TARGETS: STRUCTURE FIRST, RATIOS SECOND

Where should a breakout trade aim? The market has already answered: at the structure. First target, the next meaningful level in the breakout's direction — the level map from Chapter 2 earns its keep here. A common secondary reference is the measured move: project the height of the broken range from the breakout point, a rough-but-venerable estimate of how far stored energy might carry. If a 60-pip range breaks upward, the measured objective sits 60 pips above the ceiling. Treat it as a landmark, not a law.

Then — and only then — check the ratio. If the structural target offers less than a sensible multiple of the risk (many breakout traders test a minimum around 1.5R to 2R; find your own number), the trade may simply not be worth taking, however pretty the break. This is the discipline that separates a playbook from a compulsion: some perfectly genuine breakouts are still bad trades, because the room isn't there. Skipping them costs nothing.

MANAGEMENT: DECIDE AT THE KITCHEN TABLE, NOT IN THE STORM

Once in, a breakout trade offers a stream of temptations — take profit early, widen the stop "just this once", move to breakeven instantly, add recklessly. Management is where pre-commitment matters most, because every in-trade decision is made under emotional load. Three frameworks cover most needs; test them against each other rather than debating them in the abstract.

Fixed target: exit fully at the structural target. Simple, testable, immune to in-trade meddling — and it forfeits the occasional monster trend. Partial-and-run: take a portion (say half) at the first target, move the stop on the remainder to breakeven or better, and trail it behind structure — behind each new higher low for an upside break, or behind a moving average if you prefer mechanical rails. This banks something real while keeping a claim on the runner, at the price of a smaller position when the move is huge. Full trail: no fixed target at all; the stop follows structure until hit. Maximum trend capture, minimum win rate, maximum psychological difficulty — many give-backs of open profit, which most intermediate traders find harder to endure than losses.

On breakeven stops, a warning from the trenches: moving your stop to entry the moment the trade breathes in your favour feels like free safety and is usually a tax. Post-breakout price action routinely revisits the entry area — that's what retests are — so a hair-trigger breakeven converts healthy trades into scratches with impressive reliability. Give the trade room until it has genuinely travelled — many traders wait until the first target or a full 1R of progress — then protect. Test the difference across your own history; for most breakout systems it is not subtle.

The meta-rule ruling all of this: every management decision — stop, target, partials, trail, breakeven policy — is written down before entry, and the only in-trade adjustments permitted are the pre-planned ones. Tightening for a discretionary reason is allowed at the margin; widening a stop is never allowed, full stop. A widened stop is not a decision. It is a surrender, on instalments.

CHAPTER 7 IN ONE SENTENCE:

Place stops where the breakout idea is structurally dead — beyond the zone, sized to the entry style — aim at real structure with a ratio worth playing for, and write every management rule down before entry, because the version of you that exists mid-trade is not qualified to improvise.

CHAPTER 8 — SESSION TIMING AND BREAKOUT QUALITY.

THE CLOCK IS A FILTER, NOT A DETAIL

Here is a finding that surprises almost every trader who starts journalling properly: the same setup, on the same pair, at the same quality grade, can behave completely differently depending on the hour it fires. Breakouts are participation events — they need a crowd to carry them — and the forex crowd works shifts. Treat the clock as a core filter, equal in rank to the level itself, and a good chunk of your false-break problem thins out on its own.

The rhythm, in UK terms. The Asian session (roughly midnight to 8am London time) is typically the quietest for European and North American pairs: thinner participation, narrower ranges — and consequently, more consolidation. This is when many of the coils you'll trade later are built. Breakouts during these hours, on pairs like EUR/USD or GBP/USD, deserve suspicion by default: with fewer participants, a modest order can poke through a level, and there may be nothing behind the poke. Yen pairs during Tokyo hours are the honourable exception — that's their home crowd — but for most UK-focused trading, Asia is for marking levels, not breaking them.

Then London opens, around 8am, and everything changes. The largest FX centre comes online, overnight news gets priced, and institutional desks execute against the levels Asia so helpfully defined. The first hours of London are, for many breakout traders, the best hunting of the day — and it's no coincidence that one of the oldest setups in the book is simply the break of the Asian range during the London morning. As ever: a tendency to test, not a promise. Your journal will tell you how it behaves on your pairs, in your era.

New York arrives early afternoon UK time, and the London–New York overlap (roughly 1pm to 5pm) is the deepest, most liquid window of the day. Breakouts here have the participation to be real — though the overlap also hosts most major US data releases, which brings its own hazard, coming shortly. After London closes, the market often goes quiet and directionless; late New York breakouts frequently lack the fuel to travel. And the low-liquidity fringes — the daily rollover around 10pm to midnight UK, Friday's fade towards the close, the Sunday open — are stop-hunting weather: thin books, wide spreads, spiky moves that reverse by morning. A breakout there isn't impossible. It's just guilty until proven innocent.

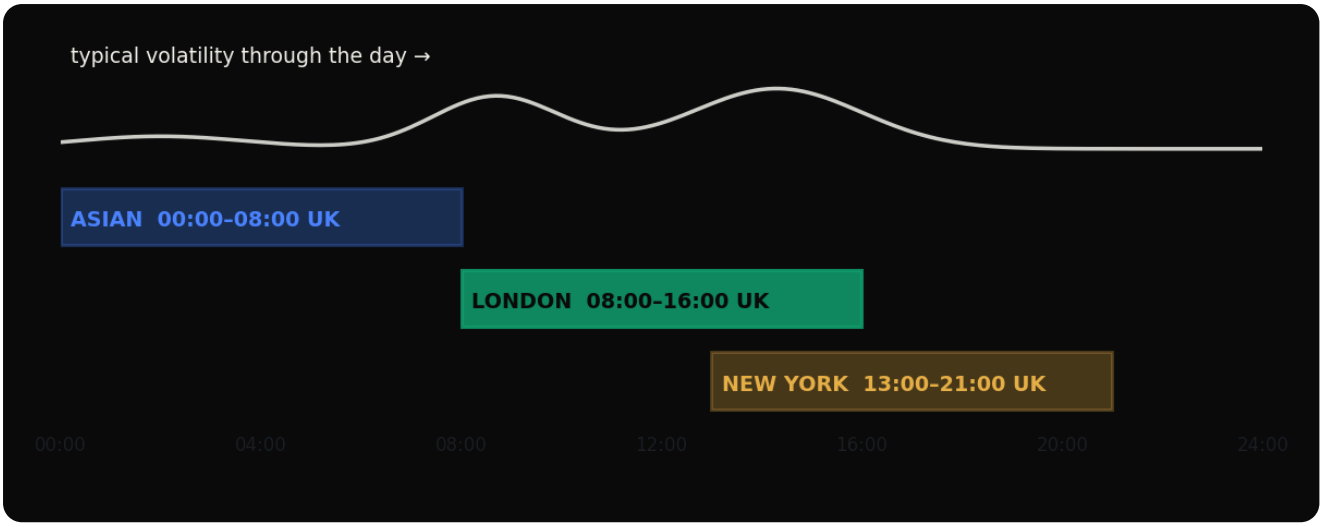


FIGURE. The trading day as a cycle of participation. Asia typically builds the ranges; London — the largest FX centre — most often breaks them. A breakout needs a crowd behind it, and the clock tells you when the crowd is at work.

THE ASIAN-RANGE TEMPLATE, AND THE NEWS PROBLEM

Because it ties the whole course together, walk through the classic session-based breakout template — as a study framework, not a signal. Overnight, a pair builds a defined Asian range: clear ceiling, clear floor, several touches each. You mark both boundaries before London opens and check context — daily trend, nearby higher-timeframe levels, scheduled news. London opens; if price breaks one boundary on a closed candle in your timeframe, that's a candidate; if it then retests the broken boundary and holds, that's the A-grade version. Stops beyond the retest structure; first target at the next mapped level or the measured height of the range. Every element — the range, the break, the close, the retest, the stop, the target — is objective enough to backtest across years of data, which is exactly what Chapter 9 will have you do. The template's value isn't that it always works. It's that it's fully specified, so you can find out how it works, where, and when.

Now the hazard that session-thinking must include: scheduled news. Major releases — UK and US CPI, non-farm payrolls, central bank decisions — produce violent, spread-widening spikes that can pierce any level regardless of structure. A breakout candle printed in the seconds after a red-calendar release is not a technical event; it's a repricing convulsion, and the whipsaw through both sides of a level within a minute is a well-worn pattern around such prints. The pragmatic rules: know the calendar before every session, treat breaks that occur during the spike itself as untradeable noise on this playbook, and be wary of the pre-news lull — markets often flatten into a big release, and a "breakout" from that anticipatory coil is frequently just positioning, unwound seconds after the number lands. The picture is familiar to anyone who has watched a payrolls Friday: price tears through both boundaries of a level within a minute, spreads gape, and neither wick means anything an hour later. Where news helps is afterwards: once the dust settles — give it fifteen to thirty minutes, and test that buffer yourself — a break that aligns with the post-news direction has a genuine catalyst behind it, and that's the context in which momentum entries

(Chapter 6) most plausibly earn their keep. The release doesn't invalidate your levels; it just suspends them briefly while the market recalculates.

MAKING THE CLOCK PART OF THE PLAYBOOK

Turn all this into three habits. First, restrict your active breakout hours deliberately — many UK-based breakout traders concentrate on the London morning and the early overlap, and let the rest of the day be analysis, journalling or life. Fewer hours, better hours. Second, tag every journalled trade with its session, and after a decent sample, read the table; if your own data shows one session quietly bleeding money, stop trading it — no further justification required. Third, respect the boring conclusion hiding in all of this: a mediocre level breaking in a strong session often beats a beautiful level breaking in a dead one, because participation, not geometry, is what carries price. The chart tells you where. The clock tells you whether anyone will show up.

CHAPTER 8 IN ONE SENTENCE:

Breakouts are participation events, so when a level breaks matters as much as where — favour the live sessions, distrust the thin hours, respect the news calendar, and let your own session-tagged journal decide which hours deserve your capital.

CHAPTER 9 — BUILDING AND TESTING YOUR BREAKOUT PLAYBOOK.

FROM KNOWLEDGE TO PLAYBOOK

Everything so far is understanding. Understanding, on its own, makes you a well-informed donor to the market. What converts it into a potential edge is a playbook: a written, specific, testable document that defines exactly what you trade, and — just as loudly — what you don't. The word "written" is doing serious work in that sentence. Rules that live in your head are not rules; they are moods with good PR, and they renegotiate themselves the moment a fast candle appears.

A usable breakout playbook answers, in plain sentences, at least the following. Markets and timeframes: which pairs, which chart period, non-negotiable. Setup definitions: each named setup specified fully — for instance, "London break-and-retest of the Asian range" or "daily-trend continuation coil break" — with what qualifies the range (minimum duration, minimum touches per boundary), what qualifies the break (closed candle beyond the zone on the execution timeframe), and the required context (trend alignment, distance to next major level, session window, no red-flag news within a set buffer). Entry style per setup, per Chapter 6: retest, momentum or hybrid — assigned in advance. Risk: fixed fractional risk per trade (a widely used starting point in the education literature is around 1% of account per trade, refined by your own testing), stop placement rules per Chapter 7, and a maximum on concurrent correlated exposure so three cloned EUR-pairs breakouts don't quietly become one triple-sized bet. Management: targets, partials, trailing, breakeven policy — pre-written. Exclusions: the explicit "we don't trade this" list — thin sessions, news spikes, sloppy ranges, breaks into nearby major structure. If Chapter 4 taught anything, it's that the exclusion list is where most of the edge lives.

Start narrow. One setup, done properly, beats five done vaguely — you can always add a second play once the first has survived testing. And keep every criterion checkable: a rule you can't verify on a historical chart ("only trade when momentum feels strong") isn't a rule, it's a horoscope.



FIGURE. A downside break of a contracting triangle with a retest of the broken boundary from below. A playbook defines in advance whether patterns like this qualify — which structures, which direction relative to trend, which confirmation — so the decision is made before the chart gets exciting.

TESTING: WHERE OPINIONS GO TO DIE

Now the unglamorous part that separates traders from spectators: testing. The purpose of backtesting is not to prove your playbook works. It is to find out whether it works — a different posture entirely, and the honest tester goes in half-hoping to kill the idea, because an idea that dies in testing costs nothing, while an idea that dies in a live account costs everything it was fed.

The manual method, which doubles as training. Take one pair, one timeframe, and scroll back a year or more in your charting platform. Move forward candle by candle — no peeking ahead; use a bar-replay tool if your platform has one, because hindsight is the great flatterer of breakout systems. Every time your written criteria are met, log the trade exactly as the rules dictate: date, session, setup name, entry style, entry price, stop, target, outcome in R (profit or loss as a multiple of the risk taken), and a screenshot. Include the failures and the excruciating near-misses. Aim for a sample of at least 50–100 trades per setup before you conclude anything; twenty trades is an anecdote wearing a lab coat.

Then read the results like an analyst, not a fan. Win rate and average R together — a 40% win rate can be handsome with 2R winners and lethal without them. Maximum drawdown and the longest losing streak — this number is a psychological forecast: if the backtest contains seven straight losses, live trading will too, on the week your boiler breaks. Then slice the sample by tags: session, setup grade, trend alignment, entry style. This is where the table talks — perhaps counter-trend breaks bleed, perhaps one session carries the whole system, perhaps the retest tranche outperforms momentum on every pair you trade. Cut what the data condemns. And

beware over-fitting, the tester's disease: if you tune rules until the past looks perfect, you've built a museum, not a strategy. Prefer few, robust rules that work adequately across many conditions to many delicate rules that worked beautifully once.

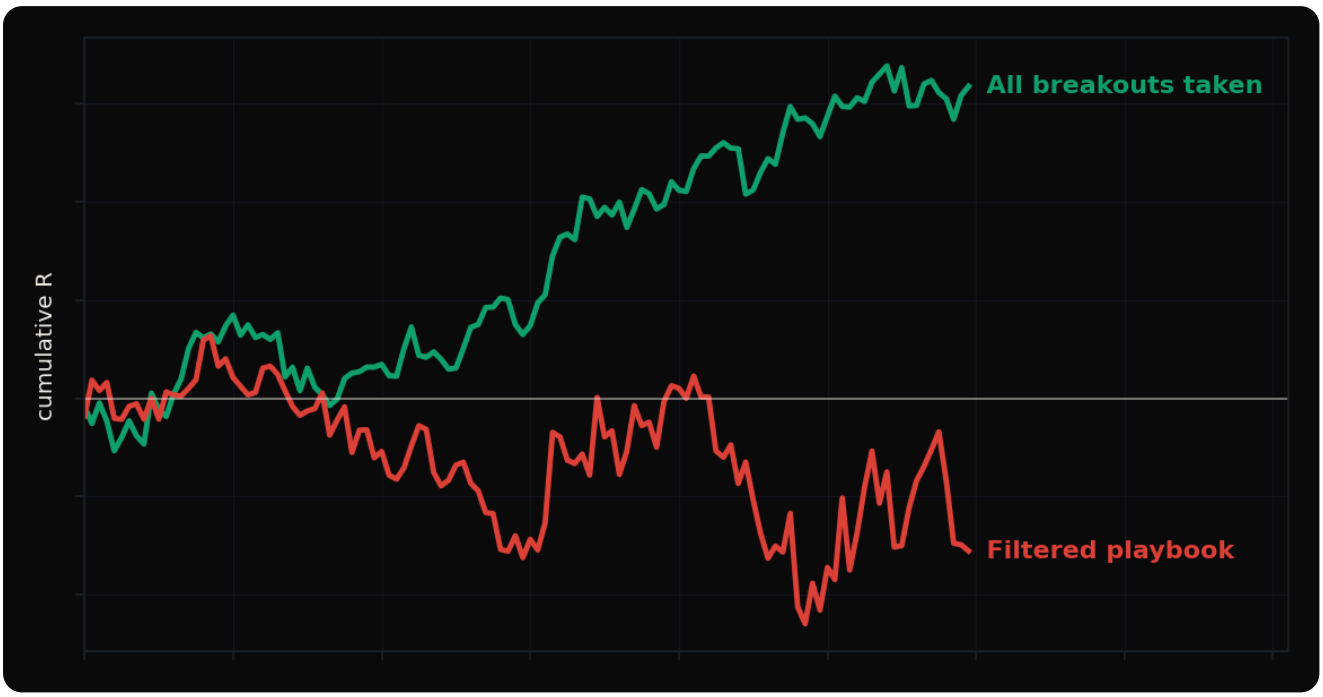


FIGURE. Illustrative equity curves from a backtest: taking every breakout versus taking only trades that pass the playbook's filters. The lesson isn't the specific shape — it's that filters, exclusions and session rules are testable claims, and the journal decides which curve you're on.

FORWARD TESTING, GOING LIVE, AND STAYING HONEST

Backtest survived? Good — now forward test. Trade the playbook on a demo account, or at genuinely minimal live size, in real time for a meaningful stretch — many traders use one to three months or a fixed count of trades. Forward testing catches what backtests can't: spread and slippage at your actual broker, the difference between judging a closed historical candle and a live one that hasn't closed yet, and — the big one — you. Hesitation, chasing, "just this once". Score yourself on execution, not profit: the honest metric at this stage is what percentage of trades followed the written rules. A profitable month of rule-breaking is worse news than a losing month of perfect execution, because only one of those is repeatable.

Go live small only when both tests pass, and keep the journal running forever, because markets shift and last year's edge needs re-earning. Schedule a review — monthly or quarterly — where you re-run the numbers and let the data, never a bad fortnight's frustration, propose changes. Change one rule at a time, in writing, with a reason attached; a playbook edited mid-tilt isn't a playbook anymore.

A closing word for the course. Breakout and retest trading will never be a machine that prints money — no strategy is, and this book has tried not to insult you by pretending otherwise. What it can be, built and tested this way, is something rarer: a defined, honest process, with known behaviour and survivable failure modes, executed by a trader who knows exactly why every trade

was taken and skipped. Most people in this game never get that far. The charts are open and the method is now yours to test. Go and earn your own numbers.

CHAPTER 9 IN ONE SENTENCE:

Write your breakout rules down until every criterion is checkable, then try honestly to kill them with a large backtest sample and a live-conditions forward test — because a playbook that survives your own scepticism is the only kind worth funding.

THE ONE-PAGE VERSION.

1. Markets alternate between consolidation and expansion; breakouts are the release of energy stored during the quiet phase, fuelled largely by the stops and entries clustered around obvious levels.
2. Only trade levels that are obvious, repeatedly tested and recent, and ranges that are clearly bounded and coiled. If another trader wouldn't mark your line in five seconds, nobody's orders live there.
3. A breakout only counts on a closed candle beyond the level's zone. Wicks are questions; closes are answers.
4. Genuine breaks show a built approach, a decisive close, acceptance on the far side, trend alignment and room to run. Grade every break against that list before risking anything.
5. False breakouts are routine, not rare — often the market deliberately sweeping the liquidity beyond an obvious level. The moment price closes back inside the range, the trade idea is dead: exit without negotiation.
6. The retest — price returning to hold a broken level in its new role — trades missed runners for better entries, tighter stops and fewer traps. For intermediate traders it should be the default entry.
7. Assign entry style by pre-written conditions: momentum entries for coiled, trend-aligned, live-session breaks; retest-only for counter-trend or scrappy ones. Never choose in the heat of the moment, and never pair a momentum entry with a retest-sized stop.
8. Stops go where the idea is structurally wrong — beyond the level's zone and the retest extreme — and targets come from real structure first, with a reward-to-risk ratio worth playing for or no trade at all.
9. Timing is a filter: favour London and the New York overlap, distrust thin hours and Fridays' fade, and never trade the breakout candle of a news spike. Participation, not geometry, carries price.
10. None of this is an edge until it's a written playbook tested across 50–100+ historical trades and a forward test — where you score yourself on rule-following, and let the journal, not your feelings, make every change.

TEST YOURSELF — 15 QUESTIONS.

1. Why do markets alternate between consolidation and expansion? A) Because brokers widen spreads at fixed times B) Because temporary price equilibrium always breaks down as new information and positioning accumulate C) Because indicators reset at the start of each month D) Because central banks fix daily trading ranges

2. What primarily fuels the initial burst of a breakout through a range high? A) A guaranteed change in the pair's fundamental value B) Buy stops from trapped shorts firing together with breakout entry orders into thinned supply C) Retail traders closing their platforms D) Automatic exchange circuit breakers

3. Which level is most worth trading, according to this course? A) A line only visible with a custom indicator B) A level touched once, three years ago C) An obvious, recently and repeatedly tested level that other traders would mark within seconds D) Any round number

4. What is the single most important confirmation that a breakout is genuine? A) A candle that closes decisively beyond the level, followed by acceptance on the far side B) A long wick poking through the level C) A social media post about the pair D) The breakout occurring on a Friday evening

5. Price wicks above resistance but the candle closes back inside the range. What is this? A) A confirmed breakout B) A signal to double your position C) A rejection — a question the market answered with "no" D) Proof the level is invalid

6. Why do stop runs (liquidity sweeps) beyond obvious levels occur? A) Random chance only B) Large players need the liquidity pooled beyond obvious levels to fill size, so price is pushed into the stops before reversing C) Regulators require them D) They only happen in stock markets, not forex

7. Price breaks out, then closes back inside the range. The correct response for a breakout trader in the trade is to: A) Widen the stop and hope B) Add to the position at a better price C) Exit immediately — the breakout thesis is dead D) Wait exactly 24 hours before deciding

8. Why does a broken resistance level often act as support on the retest? A) Because chart platforms redraw the line automatically B) Because trapped shorts buy back at breakeven, latecomers bid at the level, and larger players add to positions there C) Because spreads narrow at old levels D) It never does; levels stop mattering once broken

9. The main cost of waiting for a retest entry is: A) Wider stops than a momentum entry B) Higher exposure to false breakouts C) Missing the strongest breakouts, which often never pull back D) Paying double spread

10. Which conditions best justify a momentum (immediate) entry rather than retest-only? A) A counter-trend break from a sloppy range in the late Asian session B) A tightly coiled, trend-aligned break during London with real participation C) Any break that happens while you're watching D) A break during a red-flag news spike

11. The classic error pairing described in Chapter 7 is: A) A retest entry with a structural stop B) A momentum entry combined with a tight retest-sized stop, so normal backfilling stops you out C) A wide stop with a small position D) Taking partial profits at the first target

12. Where does this course say a breakout trade's stop-loss belongs? A) A fixed 10 pips from entry on every trade B) Wherever it keeps the potential loss under £50 C) Beyond the point where the trade idea is structurally invalidated, past the level's zone D) Exactly on the broken level's line

13. Which session context should make you most suspicious of a EUR/USD breakout? A) The first hours of London B) The London–New York overlap C) A thin, late Asian-session drift or the illiquid rollover hour D) Mid-morning New York

14. A candle smashes through resistance three seconds after a major CPI release. This course's playbook treats it as: A) The highest-quality breakout available B) Untradeable repricing noise — structure means little inside the spike C) A guaranteed retest setup D) A reason to trade double size

15. What is the honest purpose of backtesting your breakout playbook? A) To prove to yourself that the strategy works B) To generate marketing statistics C) To find out whether the rules hold up — going in willing to kill the idea if the data condemns it D) To practise drawing trendlines faster

ANSWER KEY

1. **B** — Equilibrium is temporary; the world changes while price stands still, so the auction must eventually move to a new area of agreement.
2. **B** — Trapped shorts covering plus breakout entries create a burst of one-way demand into a thinned order book — motivated buying meeting absent sellers.
3. **C** — Breakouts need other people's orders; only obvious, tested, recent levels have stops and entries clustered around them.
4. **A** — The close is the vote that counts, and acceptance beyond the level ratifies it; wicks alone prove nothing.
5. **C** — A wick beyond a level with a close back inside is a rejection wearing a breakout's coat — often the first fingerprint of a trap.
6. **B** — Large orders need volume to fill against, and volume clusters where stops rest; no conspiracy required, just big fish feeding where the food is.

7. **C** — Re-entry into the range kills the thesis and often fuels a fast move the other way; the first loss is the cheapest.
8. **B** — Human decisions cluster at the old level: breakeven covering, latecomer bids and institutional adds all supply demand there.
9. **C** — The most urgent breaks frequently never look back, so the retest trader systematically misses a slice of the best moves — that's the price of confirmation.
10. **B** — Urgency-favouring conditions (tight coil, trend alignment, live session) make a polite pullback less likely, which is when immediacy is worth paying for.
11. **B** — With a far-from-level entry and a just-behind-level stop, the ordinary post-break pullback removes you before the move you paid to catch.
12. **C** — Stops mark where the idea is provably wrong; position size, not stop location, is how you control the money at risk.
13. **C** — Breakouts are participation events, and thin hours lack the crowd to carry price — spikes there are guilty until proven innocent.
14. **B** — News-spike candles are repricing convulsions, not technical events; if there's tradeable information, it comes after the dust settles.
15. **C** — Testing exists to interrogate the idea, not flatter it; a strategy that dies in the backtest costs nothing, unlike one that dies in your account.

APPENDIX — THE GLOSSARY, IN PLAIN ENGLISH.

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

ASK
The price you buy at. Always a touch higher than the bid — the gap is the spread.

BASE CURRENCY
The first currency in a pair. The price says how much of the second one unit of this buys.

BEARISH
Expecting a price to fall. The bear swipes down.

BID
The price you sell at.

BREAKOUT
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

BULLISH
Expecting a price to rise. The bull tosses up.

CANDLESTICK
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

CENTRAL BANK
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

CROSS
A pair without the US dollar in it, like EUR/GBP.

DRAWDOWN
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

ECONOMIC CALENDAR
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

ENTRY
The price where your trade opens.

EXOTIC
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

FILL
The actual price your order executed at, which is not always the price you asked for.

FUNDAMENTALS
The economic story behind a currency: growth, inflation, interest rates, politics.

GOING LONG
Buying — profiting if the price rises.

GOING SHORT
Selling first — profiting if the price falls. Completely normal in forex.

LEVERAGE
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

LIQUIDITY
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

LOT
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

MAJOR
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

MARGIN
The deposit your broker holds while a leveraged trade is open.

MARGIN CALL
The broker telling you your account can no longer support your open trades. You never want the call.

PIP
The market's inch — the standard unit of price movement, usually the fourth decimal place.

PIPETTE
A tenth of a pip. Fine print.

POSITION SIZING
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

QUOTE CURRENCY
The second currency in a pair — the one the price is counted in.

R-MULTIPLE
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

RANGE
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

RESISTANCE
A ceiling where selling has repeatedly shown up.

RETEST
Price returning to a broken level to check it holds from the other side. The polite entry.

RISK-REWARD
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

SLIPPAGE
The difference between the price you wanted and the price you got, usually in fast markets.

SPREAD
The gap between bid and ask — the cost of every trade, paid on the way in.

STOP LOSS
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

SUPPORT
A floor where buying has repeatedly shown up. The market's memory.

SWAP
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

TAKE PROFIT
The pre-set exit that banks the win at your target.

TREND
The market's prevailing direction — higher highs and higher lows up, the mirror down.

VOLATILITY
How violently a market moves. Opportunity and danger are the same number.

CONTINUE YOUR JOURNEY.

This book is Playbook 5 of 15 in Trading Foundry University. Everything below is free:

- **The films** — complete strategy guides on YouTube: **youtube.com/@thetradingfoundry**.
- **The Trading School** — structured lessons and quizzes: pip-insight.co.uk/school.
- **The Foundry Journal** — log every trade, track your equity curve and discipline: pip-insight.co.uk/journal. Your data never leaves your device.
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Thank you for buying the book. It funds the free films.
— The Trading Foundry